But now let's remember that a dollar in 1900 was worth a lot more than a dollar in 2011. In 1900, for example, you could buy a typical house for about $5,000. Today, the price is about $160,000.

We can also adjust the prices of Dow stocks by looking at gold. In 1900, gold sold for $18.96 per ounce. At the end of 2011, it sold for $1,710.

You can see for yourself that the Dow's ascent is not as impressive when adjusted for price increases. Still, had an investor put his money in the Dow and left it there for all those years, he would have done well, right?

Well, on one hand, he would have done better than this chart suggests because he would have also collected dividends. Include those and the typical investor would have made much more money, especially if he reinvested the dividends in the stock market.

Of course, dividends are taxable. Tax rates have varied over the past 100 years and depend on your income and other details, so it's difficult to make a precise calculation. The total return over the past 100 years, net of taxes and inflation, may be only about 2 percent per year.

But before we go on, let's address a niggling little point: numbers themselves. You will notice that we say "about 2 percent" rather than 1.3 percent or 2.8 percent. You have to understand that precise numbers are a bit of a lie. They pretend knowledge that really isn't there. The fact is, nobody knows how much investors made over the past 100 years, with or without dividends. It is impossible to know such a thing.

There are probably many little reasons for this uncertainty, but there is one major reason: You never know exactly what is "real." We adjust numbers for inflation. But we never know exactly how much inflation was. In the preceding example, we adjusted stock prices to the price of gold. But not all consumer products rose in price along with the price of gold. Some exceeded gold's price. Others lagged.

And then, when you talk about "the typical stock buyer," you are also suggesting something that never actually exists. In practice, each stock buyer is different. Each buys different stocks. Each has a different experience.

And even if you presume that the stock buyer buys all stocks, there you are just raising more questions. When? The moment they went public? Or a day after? And then, what did he do when the companies went out of